

26TRCV00599 26TRCV00599

County: los-angeles

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Department: B

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Case Number: 26TRCV00599 Hearing Date: June 23, 2026 Dept: B

Moving

Parties: Defendant Tesla Motors, Inc.

Responding

Party: None

Motion

to Compel Binding Arbitration

The Court considered the moving papers. No opposition was filed.

RULING

The motion to compel arbitration is GRANTED and the

action is STAYED.

BACKGROUND

On February

18, 2026, Aziz Rahimi filed a complaint against Tesla, Inc. for violations

under Song-Beverly Consumer Warranty Act based on the purchase of a 2023 Tesla

Model Y.

LEGAL

AUTHORITY

Under

CCP § 1281, a “written agreement to submit to arbitration an existing controversy or a controversy thereafter arising is valid, enforceable and revocable, save upon such grounds as exist for the revocation of any contract.”

Under

CCP § 1281.2, “On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: . . . (c) A party to the arbitration agreement is also a party to a pending court action . . . with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact. . . . (d) If the court determines that a party to the arbitration is also a party to litigation in a pending court action . . . with a third party as set forth under subdivision (c) herein, the court (1) may refuse to enforce the arbitration agreement . . .

; (2) may order intervention or joinder as to all or only certain issues; (3)

may order arbitration among the parties who have agreed to arbitration and stay

the pending court action . . . pending the outcome of arbitration proceeding;

or (4) may stay arbitration pending the outcome of the court action or special

proceeding.”

DISCUSSION

Defendant

Tesla, Inc. requests that the Court compel arbitration and to stay the case.

The

complaint alleges that on April 20, 2023, plaintiff purchased a 2023 Tesla

Model Y Complaint, ¶5. After plaintiff

took possession of the vehicle and during the warranty period, the vehicle

contained or developed defects that substantially impair the use, safety,

and/or value of the vehicle. Id., 10. During the warranty period, the vehicle

contained or developed defects, including to the following systems: body, powertrain, safety, electrical,

braking, and noise. Id., 11. Defendant was unable and/or failed to service

or repair the vehicle within a reasonable number of attempts. Id., 14.

Existence of an agreement to arbitrate

“As

stated in *Cione v. Foresters Equity*

Services, Inc. (1997) 58 Cal. App. 4th 625, 634 'The right to arbitration

depends upon contract; a petition to compel arbitration is simply a suit in

equity seeking specific performance of that contract. There is no public policy favoring

arbitration of disputes that the parties have not agreed to arbitrate.'" Lopez

v. Charles Schwab & Co., Inc. (2004) 118 Cal. App. 4th 1224, 1229.

Defendant

Tesla presents evidence that on April 27, 2023, when initially placing the

order for the subject vehicle, plaintiff electronically accepted the terms and

conditions of the Motor Vehicle Order Agreement ("MVOA"). Defendant states that the MVOA contains an

arbitration provision at page 3: "Please

carefully read this provision, which applies to any dispute between you and

Tesla, Inc. and its affiliates. . . . [Y]ou agree that any dispute arising out

of or relating to any aspect of the relationship between you and Tesla will not

be decided by a judge or jury but instead by a single arbitrator in an

arbitration administered by the [AAA] under its Consumer Arbitration Rules. . .

." The provision contains an opt out

clause and that if "you do not opt out, this agreement to arbitrate overrides

any different arbitration agreement between us, including any arbitration

agreement in a lease or finance contract."

Raymond Kim decl., Exh. 1.

Defendant

also contends that prior to taking delivery of the vehicle on April 20, 2023,

plaintiff also signed a Retail Installment Sales Contract ("RISC") for purchase

on credit. The RISC contains an

arbitration provision, which states in part:

"Either you or we may chose to have any dispute between us decided by

arbitration and not in court or by jury trial. . . . Any claim or dispute,

whether in contract, tort, statute or otherwise . . . between you and us or our

employees, agents, successors or assigns, which arises out of or relates to . .

. purchase or condition of his vehicle . . . shall, at your or our election, be

resolved by neutral, binding arbitration and not by a court action." See Kim decl., Exh. 2.

There

is no opposition.

The

Court finds that an arbitration agreement exists between plaintiff and

defendant Tesla (both the manufacturer and seller of the vehicle) and that

plaintiff did not opt-out.

Scope

of agreement

Defendant

argues that plaintiff's claims against it fall squarely within the scope of the arbitration provisions as they arise directly out of the relationship between plaintiff as purchaser/consumer and Tesla as the manufacturer/retailer/warrantor/repair facility.

The

Court finds that the scope of the arbitration provisions covers plaintiff's claims against Tesla as they relate to the relationship between plaintiff and Tesla, including manufacture, purchase, warranty, and repairs to the vehicle.

Enforceability

"Courts

analyze the unconscionability standard in Civil Code section 1670.5 as invoking elements of procedural and substantive unconscionability. The procedural element of unconscionability focuses on whether the contract is one of adhesion. Procedural unconscionability focuses on whether there is 'oppression' arising from an inequality of bargaining power or 'surprise' arising from buried terms in a complex printed form. The substantive element addresses the existence of overly harsh or one-sided terms.

An agreement to arbitrate is unenforceable only if both the procedural and substantive elements are satisfied.

However, Armendariz held,

'[T]he more substantively oppressive the contract term, the less evidence of

procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.' (Armendariz, at 114)." *McManus v. CIBC World Markets Corp.* (2003) 109 Cal. App. 4th 76, 87 (citations omitted).

Defendant

argues that the arbitration agreement is not unconscionable. Defendant asserts that procedurally, the arbitration provision in the Order agreement was set off in its own text box and prominently displayed, as well as a sentence in the heading of the clause stating, "Please carefully read this provision." Further, defendant contends, the only arbitration fee the consumer is subject to is the filing fee, which may be reimbursed.

The

Court finds that the arbitration provision is not an adhesion contract. Plaintiff had the ability to opt out of the arbitration provision. Even if it were,

however, when there is no other indication of oppression other than the

adhesive aspect of an agreement, the degree of procedural unconscionability is

low. *Serpa v. California Surety*

Investigations, Inc. (2013) 215 Cal. App. 4th 695, 704. The Court further finds little to no

substantive unconscionability as the arbitration provision does not lack

mutuality, states that defendant shall pay the arbitration fees (except for the

filing fee, which is reimbursable if plaintiff prevails on any claim), and

selects AAA – which has established rules and procedures to select a neutral

arbitrator – as the arbitration administrator.

The

motion is GRANTED.

ORDER

The

motion to compel arbitration is GRANTED.

The

action is STAYED.

Defendant is ordered to give notice of the ruling.